Brazil Household Credit Regime

Expression: Nu Holdings (NYSE: NU) · Working note v0.1 · 25 October 2026 · written on runoff day, before the result

Call for 2027. The most likely path is a late version of the loosening scenario: consolidated ARPAC keeps rising while risk-adjusted NIM drifts down from its Q2'26 record of 12.4% as the deliberate 2026 risk expansion seasons. The bear case, ARPAC and RA-NIM falling together, is the tail, and its trigger is a post-election halt to Selic easing.

Why it can be mispriced. Consensus targets sit roughly 24% above spot and management guides RA-NIM as sustainable. The Q2'26 jump is better read as revenue from new risk arriving before its losses, not as a new steady state.

Status. No position. Retail leg (Nu Dec-2027 puts) entry deferred to Q4'26 results; institutional leg (DI steepener) conditional on a Flávio Bolsonaro win on 25 Oct.

1. Mechanism

The chain runs from household balance sheets into Nu's two valuation metrics, with the Selic path as the macro switch that decides how hard the credit cycle bites.

Link	Evidence now	What would break it
Household stress concentrated at the bottom of the income distribution	CNC Peic, Aug-26: family delinquency 29.9%; households on up to 3 minimum wages were the only income band where delinquency rose. Serasa counted a record 81.7m defaulters in Feb-26.	Real income growth outpacing debt service; Desenrola 3.0 clean-up reducing re-default rather than enabling re-borrowing
Nu deliberately expands into higher-risk segments	Q1–Q2'26 'intentional risk expansions'; 24bp of 15–90 impact attributed to them in Q2 (more than offset by 37bp favourable seasonality)	Nu reverses the expansion before vintages season (that is scenario 1, not the thesis)
Revenue arrives before losses	Q2'26 NIM +180bp to 22.9%; RA-NIM 9.5% → 12.4%; ARPAC ~$17, up QoQ	Losses on the new cohorts stay at Q2'26 levels as they age
Vintages season in 2027	Year-on-year (strips seasonality): 15–90 4.8% vs 4.5%; 90+ 6.9% vs 6.5%	15–90 YoY flat or falling through Q3'26 and Q4'26
Provisions rise, RA-NIM compresses, growth premium questioned	Not yet visible; CFO calls 12.4% sustainable but declined to call it a floor	Selic cuts lower deposit costs (CDI-linked) faster than credit costs rise

2. ARPAC versus RA-NIM

ARPAC sets the growth rating; RA-NIM decides whether the market believes it. As Brazilian customer growth matures, the equity story rests on revenue per customer deepening, so ARPAC is the growth signal. RA-NIM cannot create a growth premium, but a sustained fall removes one.

The two metrics trade off against each other because they are driven by one decision, how much credit to extend to riskier customers:

- **Higher NPLs lower RA-NIM.** RA-NIM is NIM after credit-loss provisions, so rising 15–90 and 90+ ratios compress it. It only rises in a tightening story, because losses fall.
- **Riskier customers are low-ARPAC only because their limits are capped.** On Brazilian revolving and personal-loan pricing, a risky borrower with a full limit is the highest-revenue customer per unit of credit. Capping limits protects RA-NIM and dilutes ARPAC; extending them protects ARPAC and costs RA-NIM once vintages season.
- **Prime customers do not offset the dilution through credit.** They mostly transact rather than revolve, so higher limits create unused headroom. Prime ARPAC growth comes from product

breadth: secured and payroll lending, investments, insurance, payments.

- **IFRS 9 caveat.** Fast book growth front-loads provisions, so RA-NIM can dip with stable credit quality. Read 15–90 and cohort delinquency, not the headline RA-NIM.

Separating mix dilution from a stalled story: mature-cohort ARPAC still compounding while the headline is flat is benign; mature cohorts flattening is the real de-rating signal.

Expansion has to continue alongside ARPAC, not before it. Revenue growth ≈ customer growth + ARPAC growth, and ARPAC is a cohort ramp fed by today's additions. Both routes to keep additions going carry a cost: down-market in Brazil pressures RA-NIM or headline ARPAC; Mexico and Colombia depress consolidated returns for years (acquisition cost, upfront IFRS 9 provisions, deposit funding). The valuation risk is a handoff gap where Brazilian additions slow before mature-cohort ARPAC accelerates.

3. 2027 scenarios

Probabilities are a first draft for recalibration, not a settled view.

Scenario	Signature	Valuation effect	Draft p
A. Consensus holds	RA-NIM stays ~12%; ARPAC rising; 15–90 YoY flat	Growth multiple intact; puts expire worthless	30%
B. Late loosening (base case)	ARPAC rising; RA-NIM drifts down 100–200bp YoY as 2026 vintages season	Moderate de-rating once the YoY NPL trend is undeniable; timing is the risk	40%
C. Bear: tighten after losses	Losses already built, limits cut anyway; ARPAC and RA-NIM fall together	Full de-rating of the growth premium	20%
D. Early tightening	Nu cuts risky limits pre-emptively; ARPAC slows, RA-NIM holds or improves	Moderate compression, read as a quality signal	10%

What tilts B over C. Falling funding costs (Selic 13.75% after the September cut, with about 86% priced for a further 25bp at the 3–4 Nov Copom); Mexican cohorts monetising early (ARPAC $12.3 vs $5.6 in Brazil at the same stage); and Nu's underwriting edge in the mass market (card 90+ of 8.7% in May-26 vs 14.4% for the large banks and 20.6% for smaller institutions). **What tilts toward C:** a post-election fiscal scare that halts easing, hitting both funding costs and the debt-service capacity of exactly the cohort Nu has expanded into.

4. Macro overlay

Rates

Selic is at 13.75% after four 25bp cuts since March, with the market leaning toward 13.50% on 3–4 Nov. Late-summer forecasts for end-2027 cluster around 11.5–12%. Inflation expectations near 5% keep each cut contested.

Election

Flávio Bolsonaro took the first round 47.03% to 45.16%. The latest runoff polls before the vote showed him narrowly ahead (Datafolha 47–45, Quaest 46–44, CNT/MDA 46.8–45.9). The DI curve has been trading the 'fiscal turn' on his odds: in September, intermediate and long DI contracts rallied on a poll showing him gaining. **A Flávio win is therefore partly priced**, which matters for the conditional steepener in section 7.

Desenrola 3.0

Created by provisional measure (MP 1393/26) on 25 Sep. The Treasury buys, at auction, portfolios of card and non-payroll personal-loan debts of up to R$10k that are 720–1,645 days overdue, passing a minimum 90% discount to the debtor. Up to R$150bn is eligible, with about R$75bn expected to be renegotiated. Call for proposals in November, creditor proposals in December, disbursement in 2027; maximum cost R$15bn of primary spending, to be offset by reallocation inside the 2027 budget.

- It does **not** touch Nu's 15–90 or 90+ ratios directly: eligible debt is two to four and a half years past due, long after write-off.
- For lenders it is a recovery event on written-off books, a one-off tailwind to watch for in 2027 results so it is not mistaken for improving credit.
- The second-order risk is the thesis-relevant one: debtors cleaned off the bureaus regain access to credit, and re-default after renegotiation is a mechanism already flagged in this regime. That would show up in 15–90 in late 2027 at the earliest.
- It supersedes the earlier 'end of Desenrola' catalyst. The thesis now rests on quarterly YoY 15–90 and 90+ trends.

5. What is priced

Item	Level	Read
NU share price	~$14.5 (52-week range $11.20–$18.98)	Mid-range; well off the high
Consensus 12m target	~$18.0 average across 22 analysts (+24%); 18 Buy, 3 Hold, 1 Sell. Another aggregator shows $19.87 (+37%)	Consensus underwrites continued growth
Consensus EPS path	Q3'26E ~$0.22–0.23 rising to ~$0.31 by Q2'27E	Implies no meaningful RA-NIM compression through mid-2027
Management guidance	RA-NIM 'sustainable for the foreseeable future', explicitly not a floor	The market is anchored on 12.4%
Nu Dec-27 puts	IV/historical vol ~80% (own read)	Premium cheap relative to realised

The mispricing claim in one line: the consensus EPS path treats Q2'26 RA-NIM as a level, when the bridge shows it was partly revenue from new risk ahead of its losses. **Repricing threshold (proposed):** RA-NIM down at least 100bp year on year for two consecutive quarters, which takes it back toward the 9.5–10% band of Q1'26 and Q2'25.

6. Catalyst calendar

Date	Event	What to read
25 Oct 2026	Presidential runoff	Winner; DI curve shape on the Monday; BRL
3–4 Nov 2026	Copom	Cut delivered or paused; forward language
~12–13 Nov 2026 (not yet confirmed)	Nu Q3'26 results	15–90 and 90+ YoY; RA-NIM vs Q3'25; Brazil vs Mexico ARPAC
Nov–Dec 2026	Desenrola 3.0 call and creditor proposals	Auction volumes; whether Nu participates
25 Feb 2027	Nu Q4'26 results (stated entry point)	Second YoY NPL print; FY27 commentary
~14 May 2027	Nu Q1'27 results	Q1 is the seasonal high for 15–90; the cleanest stress read

7. Pre-registered rules (proposed for sign-off)

These are drafted from the thresholds discussed so far. None is adopted until signed off; the point is to have them written before entry, which was the gap in the LNG exit ladder.

Type	Condition	Action
Pre-entry gate	15–90 YoY up ≥30bp in Q3'26 **and** Q4'26	Open the retail leg after Q4'26 results
Partial validation	Gate met, then 90+ YoY up the following quarter	Add per sizing ladder

Type	Condition	Action
Full validation	RA-NIM down ≥100bp YoY for two consecutive quarters, with mature-cohort Brazil ARPAC decelerating	Take profit on the retail leg
Invalidation	15–90 YoY flat or down in Q3'26 and Q4'26	Do not enter
Invalidation (post-entry)	RA-NIM ≥12% through Q2'27 with 15–90 YoY ≤+10bp	Exit; thesis wrong
Right-but-late	NPLs rising but RA-NIM held up by falling CDI funding costs	Exit; mechanism real, offset larger than modelled
Time stop	No validation by Q3'27 results (~Nov 2027)	Exit ahead of Dec-27 expiry decay

8. Expressions

Retail leg: Nu Dec-2027 puts (stated)

- Long premium, defined downside, in the retail account. Dec-27 spans the Q1'27 seasonal peak and Q2–Q3'27 prints where seasoning should show.
- Entry after Q4'26 results means about ten months to expiry; theta is the main cost of waiting for the gate. Strike selection and the sizing ladder are still open (section 10).

Institutional leg: Brazil DI steepener (stated, conditional)

- Entered only if Flávio Bolsonaro wins. Stated sequencing: the curve flattens first under a fiscally conservative leader, then household delinquency keeps rising while the government tries to cut the deficit, and the long end reprices the fiscal cost of the response.
- Desenrola 3.0 is a live example of the transmission: a credit-relief programme booked as R$15bn of primary spending that has to be absorbed within the fiscal rules.
- Watch-out: the rally on his odds means part of the flattening may already be in the price by Monday. Decide in advance whether a gap-flattening open counts as 'flattens first' or whether to wait for the post-inauguration budget.
- FX and sovereign CDS were considered and dropped: FX could move on rate differentials driven by the Hormuz energy shock; CDS payoff is too slow relative to carry.

9. Monitoring (free sources)

Signal	Source	Frequency
15–90, 90+, RA-NIM, ARPAC, cohort ARPAC, coverage (244% in Q2'26)	Nu 6-K and earnings deck	Quarterly
Household free-credit NPL; card revolving and instalment NPL	BCB SGS series (Estatísticas Monetárias e de Crédito)	Monthly
Family indebtedness and delinquency by income band	CNC Peic	Monthly
Defaulter count and debt stock	Serasa Mapa da Inadimplência	Monthly
Selic path and statement language	BCB Copom; Focus survey	Six-weekly; weekly
DI curve shape	B3 settlement prices	Daily
Desenrola 3.0 auction volumes	Ministério da Fazenda	Event
Candidate leading signals (proposed, unbuilt)	Share of credit spend on essentials; reserve-requirement balances as a cap on RA-NIM	To build

10. Risks to the thesis and open decisions

Strongest counter-arguments

- Nu's underwriting is materially better than incumbents' in the same segment, and coverage of 2.4x 90+ balances gives room to absorb seasoning without a P&L shock.
- Funding-cost relief from Selic cuts may offset higher credit costs one for one through 2027.
- Mexico can carry consolidated ARPAC even if Brazil dilutes, so the growth narrative survives Brazilian stress.
- Desenrola 3.0 recoveries could flatter 2027 results at exactly the time the thesis needs them to weaken.

Open decisions

- Sign off or amend the rules in section 7.
- Sizing ladder and maximum drawdown for both legs, using equivalent logic so the two expressions are comparable.
- Put strike(s) and whether to stagger entry across Q4'26 and Q1'27 results.
- Steepener tenor pair and the definition of 'flattened first'.
- Recalibrate the scenario probabilities after Q3'26 results.

Sources

Nu Holdings, Q2'26 results release and 6-K (13 Aug 2026), nu.com and sec.gov

Nu Q2'26 earnings call coverage (Yahoo Finance, AOL transcript) and slides (Investing.com)

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Agência Brasil / Diário de Pernambuco, imirante and Acessa on Desenrola 3.0 (Sep 2026)

Bernama/Anadolu (9 Oct 2026) and Al Jazeera (16 Oct 2026) on the runoff; DGABC on DI moves (Sep 2026)